

Experienced practitioners have seen similar scenarios play out repeatedly. Clients ignore downside risks of, for example, employer stock and focus only on the upside potential. Why? In this case, confirmation bias played a significant role in the behavior of the IBM employees. It led them to accept information that supported their rosy predictions regarding IBM while discounting evidence of increased competition from Microsoft. Consequently, these employees lost money as IBM's stock price fell. Only those few who were able to hang on, over the course of five years of uncertainty—history, remember, shows us that most investors “panic” in such a situation—had the opportunity to profit in the end.

Implications for Investors

Anyone who has played a hand or two of poker knows well the downside of confirmation bias. Suppose you are entrenched in a game, and you get three kings on the flop. Your opponent raises the pot, and you are only happy to raise him back. You aren't really paying attention as the turn card comes out. Your cards are telling you “I can't lose.” You are oblivious to the fact that a series of hearts are showing up. A two comes up on the river and you are pretty much guaranteed to win. You bet big. You get called. Oops, someone had a flush, and you lose.

In the context of the poker analogy, what's important to note is that, by “listening” only to information that confirms your belief that you have the best hand, you ignore the other players' cards. Focusing on the payoff of the present hand might eventually earn a profit; however, you don't analyze the implications of a loss—even if some indication has cropped up during the game that another player might be collecting hearts. While the poker metaphor isn't flawless, it gets the point across: people believe what they want to believe and ignore evidence to the contrary. This is the essence of confirmation bias.

In finance, the effects of confirmation bias can be observed almost daily. Investors often fail to acknowledge anything negative about investments they've just made, even when substantial evidence begins to argue against these investments. A classic example took place on the Internet message boards during the technology stock boom of the late 1990s. Many of these chat roomers would harass anyone who voiced a negative opinion of the company they invested in. Rather than try to glean some useful insight into their company through other investors, they sought only confirmations of their own beliefs.

The following is a summary investment mistakes that can be caused by confirmation bias.